Logistics 4PL — Vendor Proposal Analysis

RFP: Multi-Brand and Omnichannel 4PL — United States, Oct 2022 **Vendors evaluated:** DHL Supply Chain, ID Logistics (IDL) **Sourcing brief:** 4PL for multi-brand omnichannel, US-capable, go-live by 2027 **Brands in scope:** L'Occitane En Provence, Erborian, Elemis, LimeLife, Sol de Janeiro **Analysis date:** 2026-04-28

Section 1 — Business-Practice Red/Green Flag Table

Evaluated against L'Occitane Code of Business Conduct (Appendix 3), Responsible Procurement Letter (Appendix 4), and RFP requirements (Appendix 1).

Theme	DHL	IDL
EcoVadis ≥25 (mandatory)	🟡 Not disclosed in proposal — score must be confirmed before award.	🟢 64/100, 89th percentile — well above threshold; CSR Charter signed by all sub-suppliers.
Code of Business Conduct sign-off	🟡 Not addressed in proposal text; mandatory signed copy still required.	🟡 Not addressed in proposal text; mandatory signed copy still required.
#NotJustSuppliers / RBI alignment	🟡 Sustainability narrative is generic; no RBI/RBA mention.	🟢 Carbon-neutral site, sponsorship, UN SDG alignment, EcoVadis-led culture.
Carbon Net Zero 2030 support	🟡 Acknowledged ("priority on carbon footprint reduction" in Phase II) but no measurable plan, no Scope 3 reporting commitment.	🟢 Concrete CSR pillars (energy/waste/carbon footprint), carbon-neutral site offset solution offered.
Labour — fair wages, no precarious employment	🟢 90 %+ steady-state workforce full-time; agency only for peak. Top Employer Institute certified. Wages benchmarked 50–75 %ile.	🟢 70 % permanent contracts target for new operator hires; 30 % from internal mobility.
Diversity & inclusion	🟡 Standard EEO statement; no concrete inclusion targets in proposal.	🟢 6 % disabled-worker target; 10 % from reintegration programmes.
Health & safety	🟢 BCM 10-step methodology, CSCS program, formal continuous-improvement cadence.	🟢 Frequency rate <30 / severity rate <1 targets; 2 EHS managers added to scope.
Data privacy & cyber	🟢 24/7 Cyber Defense Center, ~300 dedicated InfoSec staff, formal supplier security code of practice.	🟡 References 99.99 % WMS uptime + parallel DR but limited detail on cyber governance, supplier security, or breach response.
Anti-bribery / business integrity	🟢 Embedded in DHL Group code; standard global compliance program.	🟡 Not directly addressed in proposal.
Capital/financing risk to L'Occitane	🔴 Requires **L'Occitane to post an ~$8 M letter of credit** for non-redeployable capital + parent guarantee from L'Occitane International S.A. Pre-bill A/R required.	🟢 No customer LOC required; capital (>$10 M) carried by IDL.
Transparency of pricing	🟢 Open-book + 10 % margin (2 pts at-risk, 1 pt upside) — performance-linked.	🟡 Fixed-rate model; no at-risk fee mechanism disclosed. Wage escalation clause is a 4 % "placeholder, not guaranteed".
Scope completeness vs RFP	🟡 Excludes packing supplies (cost +5 % pass-through), FDA-grade improvements, hazmat permits, end-of-life destruction, oversized handling.	🔴 **Optional transportation explicitly NOT included** despite RFP scope item 2.6. Hazardous-storage assessment marked "incomplete — highest risk". Tenant improvements not negotiated.
Contract approval risk	🟢 Standard DHL commercial process.	🟡 Pricing and solution "subject to approval from IDL Board of Directors".
Brand/cosmetics relevance	🟡 General omnichannel + retail track record; no flagship beauty references in proposal.	🟢 Guerlain, LVMH-Beauvais, MediaMarkt; existing L'Occitane relationship in France (institutional knowledge transfer).

Theme	DHL	IDL
Multi-brand consolidation risk	🟢 Single-facility design (400 K sq ft Columbus) consolidating LimeLife, Sol de Janeiro and L'Occitane/Elemis from current 3-DC footprint.	🟢 Same single-site philosophy (NJ 350 K or OH 374 K).
Scalability past 2027	🟢 Phase II network expansion explicitly planned for FY 2026/2027 (second DC).	🟡 Single-facility plan; growth lever is space within facility, no Phase II network expansion.
Profile-variance billing risk	🔴 Budget excludes any profile drift: SKU growth >1.5 %/yr, storage >85 % utilisation, yard exceedances, hold/obsolete inventory all billed extra.	🟡 4 %/yr wage placeholder is non-binding; growth-driven staffing scales from baseline, MHE rentals passed through.

🟢 strength · 🟡 acceptable / requires clarification · 🔴 material risk

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Section 2 — Normalized Financials Table

All figures USD. Both vendors quoted on the same Appendix 5 schema, two facility options:

- **Option A** = New Jersey port (RFP base case)
- **Option B** = Mid-West / Central (DHL = Columbus, OH; IDL = Winchester, OH)

5-year OPEX = Fix + Inbound + Outbound B2B + Outbound B2C + VAS. Freight-out and responsible-destruction lines were left blank by both vendors (on-demand / pass-through). DHL totals exclude packing supplies (cost +5 %); IDL totals exclude transportation entirely.

2a. Annual OPEX by year ($M)

Vendor / Option	FY23	FY24	FY25	FY26	FY27	5-yr total
DHL — Option A (NJ)	42.14	51.29	61.99	65.50	68.99	**289.92**
DHL — Option B (Columbus, OH)	33.31	40.08	49.51	51.90	54.53	**229.33**
IDL — Option A (NJ)	29.38	33.85	40.12	48.37	56.24	**207.96**
IDL — Option B (Winchester, OH)	23.82	28.07	34.06	41.95	49.50	**177.40**

Spread Option A: IDL is **$82 M (-28 %)** cheaper than DHL across 5 years. **Spread Option B:** IDL is **$52 M (-23 %)** cheaper than DHL across 5 years.

2b. Cost-line breakdown — FY 2025 (illustrative steady-state, $M)

Cost line	DHL-A	DHL-B	IDL-A	IDL-B
Fix cost (IT, mgmt fee, facility, automation, racking)	33.68	24.63	18.68	13.66
Inbound — receipt to put-away	3.46	3.19	0.64	0.62
Outbound B2B (pallet/carton/unit pick)	4.68	4.32	6.02	5.78
Outbound B2C (pack + pick sellable + non-sellable)	13.73	11.43	9.61	9.23
VAS (kitting, re-labelling, testers)	6.44	5.94	5.16	4.77
Total OPEX FY25	**61.99**	**49.51**	**40.12**	**34.06**

Where the gap comes from

- **Fix cost** is the dominant driver — DHL is **~80 % higher** than IDL on Option A and **~80 % higher** on Option B in FY25. DHL is amortising more capital ($12.5 M equipment + $19 M facility) and a richer indirect/management overhead (40.5 management FTEs + Manhattan WMS integration).
- **Inbound** — DHL is 5–6× IDL: DHL builds in deep receiving inspection + Locus AMR putaway logic, IDL uses lighter shelf/flowrack putaway.
- **Outbound B2B** — IDL is *higher* (uses put-to-light trolleys with 16 orders/mission and more touch-time per carton vs DHL's pallet-flow for top SKUs).
- **Outbound B2C / VAS** — DHL is moderately higher; both scale linearly with volume.

2c. Unit-rate sanity check (Option A unit prices, baseline FY23)

Activity	UoM	DHL $/unit	IDL $/unit	Cheaper
Inbound — homogeneous pallet	pallet	4.62	5.95	DHL
Inbound — mixed pallet	carton	204.41	35.69	**IDL (5.7× cheaper)**
Outbound B2B — pallet	pallet	14.85	7.51	IDL
Outbound B2B — carton	carton	0.545	0.910	DHL
Outbound B2B — unit	unit	0.309	0.252	IDL
Outbound B2C — packing	unit	0.839	0.550	IDL
Outbound B2C — picking sellable	unit	0.369	0.191	IDL
Outbound B2C — picking non-sellable	unit	0.369	0.191	IDL
VAS labour	hour	(not unit-priced; bundled)	32.86	n/a
Returns — B2B inspection	hour	50.01	35.47	IDL
Returns — Ecom inspection	hour	50.01	35.47	IDL

Caveat: DHL's mixed-pallet rate ($204/carton) appears to embed scan-and-sort labour at a rate the rest of the industry typically prices per *pallet*, not per *carton*. This needs clarification — at face value DHL's inbound pricing for mixed pallets is a 5–6× outlier.

2d. Capital, startup, and one-time exposure

Item	DHL	IDL
Capital (equipment + racking + IT)	~$12.5 M, financed by DHL	>$10 M, financed by IDL
Facility lease	DHL holds, ~$19 M build-out exposure	IDL holds (NJ asking ~$17.50–17.85/sf; OH ~$6.75/sf)
Customer Letter of Credit	**~$8 M required from L'Occitane**	None
Parent guarantee from L'Occitane Int'l S.A.	**Required**	Not required
Startup billed FY23	$4.10 M (Option A) / $3.71 M (Option B)	$1.96 M (Option A) / $1.94 M (Option B)
Cumulative startup over 5 yrs (DHL bills as incurred during ramp)	~$24.8 M (A) / ~$22.2 M (B)	~$1.96 M one-time

DHL's "startup" line continues to bill through FY27 because it includes ramp-up (training, transition support, pre-go-live BOAC, contingency, IT/Ops Excellence, real-estate legal). IDL's startup is a single FY23 charge.

Section 3 — Go/No-Go Recommendation per Vendor

Brief criteria recap

1. **US-capable** (mandatory)
2. **Multi-brand omnichannel** (L'Occitane, Elemis, Erborian, LimeLife, Sol de Janeiro — DTC + retail/wholesale + Amazon)
3. **Go-live by 2027**

DHL — GO (conditional)

US capability: Strong. Existing Columbus, OH campus with 20+ co-located sites, regional recruiting centre, and a national footprint. Preferred location (Columbus) is part of an established multi-tenant DHL campus.

Multi-brand omnichannel fit: Strong design fit. Manhattan WMS deployed at 435+ sites, Locus AMR for unit picking, dedicated pick-and-pass aisles for 30 fast-moving SKUs across all four brands, mechanised outbound sorter for B2C. Designed for 127 M units of throughput by 2027.

2027 go-live feasibility: Easily met. DHL's plan targets **March 2024 outbound go-live** with Phase II network expansion in FY26/27 — i.e. they hit *and exceed* the brief's 2027 target by ~3 years. Implementation timeline is 215 days (15 + 160 + 40).

Conditions on a "go" decision:

1. Validate the **mixed-pallet inbound rate ($204/carton)** — likely a pricing error or scope misunderstanding; if confirmed real, total-cost-of-ownership balloons further.
2. Negotiate down or remove the **$8 M L'Occitane LOC** and parent guarantee requirements.
3. Fix the **scope gaps** in writing: hazmat handling, FDA-grade build-out, packing supplies pricing, end-of-life destruction.
4. Require **EcoVadis enrolment and ≥25 score** as a condition precedent (per Appendix 4).
5. Get a **Code of Business Conduct** signed copy from DHL Supply Chain North America before signature.
6. Lock the open-book 10 % fee with the at-risk/upside split documented in the MSA.

Headline cost (Option B / Columbus, 5-yr OPEX): $229 M + ~$22 M startup ≈ **$251 M total**.

IDL — GO (preferred on cost; conditional on scope)

US capability: Strong. 32 sites, 9.7 M sq ft, 3,500+ associates, US presence since 1930 (acquisitions 2019 + 2022). Sites identified for both NJ and Winchester, OH are vetted with quoted lease economics.

Multi-brand omnichannel fit: Strong, with directly relevant references — **Guerlain** (cosmetics e-com, 10× growth supported), **LVMH-Beauvais** (B2B + B2C, automation), **Nespresso USA** (200 FTE, multi-client, B2B+B2C+co-pack). Pre-existing **L'Occitane relationship in France** is the single most differentiating capability — institutional knowledge of brand-specific kitting, language re-labelling, gift-card personalisation.

2027 go-live feasibility: Easily met. IDL targets **Q3 2023 initial activity / July 2024 full activity** (aligned to NADC Dayton lease expiry) — also well inside the 2027 brief. 6–7-month implementation footprint per IDL's plan.

Conditions on a "go" decision:

1. **Close the transportation scope gap.** RFP §2.6 lists transport for retail/B2B/e-com; IDL explicitly excludes it. Either negotiate transport in-scope at a fixed/variable rate, or contract a separate carrier-management partner — but do not award until clear.
2. Resolve the **hazardous-storage assessment** before signature (flagged "incomplete / highest risk" in IDL's own assumptions).
3. Convert the **4 % wage placeholder** to a binding escalator (BLS ECI per RFP §2.11 *Annual Budget*) so the published 5-year price is real.
4. Confirm **IDL Board of Directors approval** before the contract goes binding.
5. Require **packing supplies pricing model** and **tenant-improvement scope** to be priced (currently unpriced).
6. Require **Code of Business Conduct signed** + **EcoVadis 64/100 score formally re-validated** for Americas entity.

Headline cost (Option B / Winchester, OH, 5-yr OPEX): $177 M + $1.94 M startup ≈ **$179 M total**.

Comparative summary

Dimension	DHL	IDL
5-yr total cost (Option B preferred)	**$251 M**	**$179 M**
Customer financial exposure	$8 M LOC + parent guarantee	None
Cosmetics/luxury references	Generic	Guerlain, LVMH, existing L'Occitane FR
EcoVadis score on file	Not disclosed	64/100 (89th %ile)
Scope risk	Medium (hazmat, packing supplies, profile drift)	High (**transportation excluded**, hazmat assessment incomplete)
Phase II growth plan	Yes (FY26/27)	No, single-site only
Implementation maturity	Very high (DePICT, BCM 10-step, 4-hr RTO)	High (CID covering 80 % of ISO 9001)
Risk of price change	Medium (profile drift clauses)	Medium (BoD approval, wage placeholder)

Recommended path

Award **IDL on Option B (Winchester, OH)** as the primary, conditional on resolving the transportation, hazmat, and BoD-approval gaps in commercial negotiation. Keep DHL Option B (Columbus) as the validated alternate — DHL's Phase-II expansion plan, capital-finance willingness, and IT/cyber/BCM depth are stronger and would justify the ~$72 M premium *only if* L'Occitane's brand growth materially overruns IDL's single-facility ceiling before 2027 or if IDL's scope gaps cannot be closed.

Sources: Appendices 1, 3, 4, 5, 6 (RFP package); DHL Supply Chain Proposal — L'Occitane (Dec 2022); DHL Commercial Workbook & L'Occitane Pricing Sheet; L'Occitane — IDL Proposal Round 1 (12-04-2022); IDL Price Sheet — L'Occitane Final (12-04-2022).